INVESTMENT DECISION REPORT & EUROPEAN BUSINESS PLAN

Project: Iranian Red Clay Tennis Surface Export to EU
Founder: Mohammad (Iran Sourcing & Dutch B.V. Hub)
Date: 2026-07-29
Decision State: CONDITIONAL_GO
Overall Score: 84.5 / 100 (Confidence: 81.2%)

EXECUTIVE SUMMARY

The proposed export of premium Iranian red shale clay for European tennis court surfaces demonstrates extraordinary unit economics (>60% gross margin) and a massive target market (>300,000 tons annual maintenance demand in Western Europe). Technical specs (EN 14877 grain size 0-0.5mm, 7.3% Fe_2O_3 red color) align with premium European standards.

However, final capital deployment is CONDITIONAL upon clearing 3 critical verification gates:

1. EU Sanctions legal opinion on Netherlands B.V. holding structure.
2. XRF lab confirmation of Calcium Carbonate < 1.0% in raw quarry samples.
3. Binding ocean freight quotation from Bandar Abbas to Rotterdam.

INVESTMENT DECISION MATRIX SCORE BREAKDOWN

IDCriterionWeightScoreConfidenceCRIT-1Market Attractiveness & Demand15%88/10085%CRIT-2Product & Technical Feasibility15%92/10090%CRIT-3Regulatory & Legal Feasibility15%72/10082%CRIT-4Supply Chain &

Logistics15%78/10070%CRIT-5Unit Economics & Profitability15%94/10088%CRIT-6Competitive Positioning10%84/10080%CRIT-7Go-to-Market Feasibility10%80/10075%CRIT-8Founder & Operational Readiness5%85/10085%

EUROPEAN BUSINESS PLAN

Section 1.0: Executive Summary & Investment Thesis

1.1 Executive Overview

This Business Plan details the commercial launch of Terre Battue Supreme, a premium red shale clay top-dressing and surface product engineered for Western European clay tennis courts. By leveraging high-iron mineral reserves in Yazd and Isfahan, Iran, and establishing a hub in Rotterdam, Netherlands, the company captures a >60% gross margin while supplying European tennis clubs with superior terracotta-red clay.

1.2 Key Investment Metrics

- Target Market: Western Europe (France, Germany, Spain, Italy, Netherlands, Belgium)
- Annual Market Demand: ~300,000 metric tons of annual spring court maintenance clay
- Landed Cost (Rotterdam): $218.50 per ton ($5.46 per 25kg bag)
- Wholesale Price (B2B): €16.50 per 25kg bag ($700 per ton)
- Gross Profit per Ton: $481.50 (68.8% Gross Margin)
- Year 1 Target Volume: 2,400 metric tons (100 containers)
- Year 1 Net Revenue: $1,680,000 | Year 1 EBITDA: $540,000

- Seed Investment Required: $350,000 (Working capital, inventory, Netherlands B.V. setup, marketing)

Section 2.0: Problem & Market Opportunity

2.1 The Problem

Western Europe operates over 120,000 active clay tennis courts. Every spring, weather erosion and winter frost strip away surface material. Clubs must replace 1.5 to 3.0 tons of clay per court annually. Existing suppliers increasingly rely on low-quality recycled brick dust, resulting in poor color and surface hardening.

2.2 The Opportunity

Iranian red shale clay possesses natural high iron oxide (7.3% Fe_2O_3) and kaolinitic mineral structure. Sourced at competitive quarry costs, it provides European clubs with an authentic French Open-style terracotta-red surface.

Section 3.0: Product Specification & Quality Control

3.1 Technical Specifications

- Grain Size: 0.0 mm to 0.5 mm
- Fe_2O_3 (Iron Oxide): 6.8% - 8.2% (Vibrant terracotta red)
- $CaCO_3$ (Calcium Carbonate): STRICTLY < 1.0% (Prevents white efflorescence)
- Water Permeability: > 120 mm/hour

Section 4.0: ITF Rules & Technical Position

4.1 ITF Compliance Strategy

The ITF does not brand-approve raw clay; it certifies installed surfaces. Our product is formulated to meet EN 14877 standards for ITF Category 1 (Slow) court surface performance. All batches will undergo third-party validation by accredited labs (e.g., Kiwa ISA Sport).

Section 5.0: Target Market & Customer Segments

1. Tennis Court Contractors (45%): Bulk buyers for facility construction/renovation.
2. Tennis Clubs & Associations (35%): End-users for spring maintenance.
3. Sports Wholesalers (20%): Regional distribution partners.

Section 6.0: Supply Chain, Logistics & Packaging

- Route: Yazd/Isfahan -> Bandar Abbas -> Rotterdam -> Venlo Warehouse.
- Packaging: 25kg UV-stabilized, moisture-resistant PE bags on ISPM-15 pallets.

Section 7.0: Legal, Customs & Sanctions

- Customs: HS Code 2507.00.00 (0% Duty).
- Compliance: Minerals are excluded from EU sectoral sanctions. Financial flows are managed via established, transparent trade finance protocols and a compliant Dutch B.V. entity.

Section 8.0: Unit Economics & Financial Model

Cost ComponentCost per Ton (USD)Raw Material & Processing$40.00Logistics (Inland + Ocean + Insurance)$110.25EU Port & Inland Distribution$68.25Total Landed Cost$218.50

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\text{Gross Profit per Ton} = $700.00 - $218.50 = $481.50
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Section 9.0: 12-Month Validation Roadmap

- Months 1-3: Lab testing (XRF) and Legal Incorporation.
- Months 4-6: Pilot shipment (24 tons) and field testing.
- Months 7-9: Distributor network expansion.
- Months 10-12: Full seasonal rollout (2,400 tons).

Section 10.0: Expansion Strategy

- Year 2: Scale to 10,000 tons with a Mediterranean hub in Spain.
- Year 3+: Strategic evaluation of North American market entry, subject to trade compliance and logistics feasibility.

FOUNDER & CONTACT INFORMATION

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